

It is important to note the brokerage charges that will be deducted from each securities transaction conducted through your demat account. Normally, it should be around 0.25% or less. The brokerage charge may sound insignificant in the beginning but will become quite large as you proceed on your journey towards financial freedom, since the number and amount of transactions will grow in your equity part of the portfolio.

It would be wise to make sure that you have chosen a reliable DP even if the brokerage is slightly on the higher side. A DP opens the account and provides you with a unique account number through which you will be able to transact your securities through secured internet sites as well as over the telephone.

| Financial Investment Tools     |                                    |
|--------------------------------|------------------------------------|
| Bank Fixed Deposits (FDs)      | Superannuation                     |
| Bank Recurring Deposits (RDs)  | Gold                               |
| PPF (Public Provident Fund)    | Stocks                             |
| EPF (Employee Provident Fund)  | <b>Bonds</b>                       |
| VPF (Voluntary Provident Fund) | Mutual Funds                       |
| National Pension Scheme (NPS)  | FMPs (Fixed Maturity Plans) of MFs |
| Sukanya Samridhi Scheme (SSS)  | Commodities                        |
| Gratuity                       | Real Estate                        |

## Bonds

While stocks are unpredictable and carry an element of risk with them, bonds tell you how much income you will receive during the life of the bond.

A company may seek debt capital in the same manner as equity capital from the public. To get debt capital from the public (with fixed interest and tenure), the company contacts an investment banker who arranges for debt securities, called bonds to be sold to the public. These bonds are purchased by investors who are interested in earning a fixed interest in a fixed tenure. Often, governments and state municipalities also issue bonds to raise debt capital.